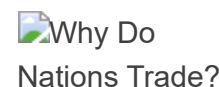


6-4a Location, Location, Location

Certain locations possess geographical features that are difficult to match by others. We may regard the continuous expansion of international business (IB), such as FDI, as an unending saga in search of location advantages. For example, although Austria politically and culturally belongs to the West, the country is geographically located in the heart of Central and Eastern Europe (CEE). In fact, Austria's capital Vienna is actually *east* of Prague, the Czech Republic, and Ljubljana, Slovenia. Not surprisingly, Vienna attracts significant FDI from MNEs to set up regional headquarters for CEE. Due to its proximity to the United States, Mexico attracts numerous automakers to set up production there. Thanks to such FDI, 64% of Mexico's vehicle production is exported to the United States (see the [Closing Case](#)).



Beyond natural geographical advantages, location advantages also arise from the clustering of economic activities in certain locations—referred to as **agglomeration** ([Clustering of economic activities in certain locations.](#)). For instance, the Netherlands grows and exports two-thirds of the world's exported cut flowers. Dallas attracts all of the world's major telecom equipment makers and many telecom service providers, making it the Telecom Corridor. Denmark enjoys the clustering of the world's leading wind turbine makers and suppliers ([In Focus 6.2](#)). Overall, agglomeration advantages stem from:

- **Knowledge spillovers** ([Knowledge diffused from one firm to others among closely located firms.](#))
(knowledge being diffused from one firm to others) among closely located firms that attempt to hire individuals from competitors.
- Industry demand that creates a skilled labor force whose members may work for different firms without having to move out of the region.
- Industry demand that facilitates a pool of specialized suppliers and buyers also located in the region.

In Focus 6.2

Agglomeration of Wind Turbine Producers in Denmark

Source: © Danish Ministry of Foreign Affairs.

On a clear day, passengers with window seats on planes taking off and landing at Copenhagen airport can clearly see dozens of huge wind turbines offshore in Oresund (the straight that separates Denmark and Sweden). Chances are that these wind turbines are also developed and made in Denmark. Thanks to visionary government policies that offer generous subsidies, Denmark is a first mover, and now a world leader, in the wind turbine industry. At present, *one-third* of Danish energy consumption comes from wind. No other country comes close. Denmark's goal is to become the first country in the world to meet 50% of energy needs with wind power by 2020 and 100% by 2050. Underpinning these achievements and ambitions is a cluster of wind turbine manufacturers and suppliers in one part of Denmark—Jutland, the peninsula in western Denmark that is attached to the European mainland (Copenhagen is located in the easternmost part of the country on the island of Zealand).

Based in Aarhus (Denmark's second largest city), Vestas is the world leader in terms of installed turbines (60 GW), accounting for nearly one-fifth of the total capacity of all the installed turbines in the world. Founded in 1979, Vestas employs 15,000 people, including 4,000 in Denmark. About 80 kilometers west of Aarhus, in the small town of Brande, Siemens Wind Power is headquartered. Founded in 2004 following the acquisition of Bonus Energy, which was established in 1979, Siemens Wind Power (a division of Siemens) is another giant in this industry. It has 23 GW installed turbines and 11,000 employees worldwide (of which 5,500 are in Denmark). In addition, major Danish-owned suppliers LM Wind Power and AH Industries are also nearby.

Attracted by the greatest agglomeration of know-how in this specialized but rapidly expanding industry, a number of international wind turbine manufacturers, such as

India's Suzlon and China's Envision Energy, have also undertaken foreign direct investment (FDI) in this region of Denmark. With an investment of US\$400 million, Japan's Mitsubishi Heavy Industries (MHI) has recently established a 50-50 joint venture with Vestas named MHI Vestas Offshore Wind that focuses on the huge 8.0 MW turbines. Anders Rebsdorf, director of Envision Energy (Denmark) located in Silkeborg, a town almost equidistance between the global headquarters of the two giants Vestas and Siemens Wind Power, articulated the firm's location choice:

Our choice of Denmark is directly related to the country's strong cluster of know-how in the area of turbine design. It is also important that there are manufacturers of turbine components and experts in turbine service. The entire value chain is represented to a degree that is not found anywhere else ... If we are to earn the right to join the battle for international orders, then we must be visible where the competition is fierce.

Sources: Based on (1) *Focus Denmark, 2014, A wind energy hub, summer-autumn: 24*; (2) *Focus Denmark, 2014, Titans of wind energy arm for battle, summer-autumn: 18–23*; (3) *Vestas, 2014, MHI Vestas Offshore Wind now operational, announcement, April 1*; (4) *Wall Street Journal, 2013, Vestas, Mitsubishi form offshore joint venture, September 27, online.wsj.com*.

Chapter 6: Investing Abroad Directly: 6-4a Location, Location, Location

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